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4. GSTN facility will reduce multiple record keeping, lesser investment in manpower and resources and improve efficiency.
5. All interactions will be through common GSTN portal and will ensure corruption free administration.
6. Uniform prices throughout the country. Expansion of business to all states is made easy.

C. To Consumers

1. Input tax credit allowed will lower the prices to the consumers.
2. All small retailers will get exemption and purchases from them will cost less for the consumers.

Disadvantages of GST

Besides the above listed advantages the GST is also criticized for many reasons. The disadvantages of GST are stated below:

i. Several Economists says that GST in India would impact negatively on the real estate market. It would add up to 8 percent to the cost of new homes and reduce demand by about 12 percent.

ii. Another criticism is that CGST, SGST are nothing but new names for Central Excise/Service Tax, VAT and CST. Hence, there is no major reduction in the number of tax layers.

iii. A number of retail products currently have only four percent tax on them. After GST, garments and clothes could become more expensive.

iv. The aviation industry would be affected. Service taxes on airfares currently range from six to nine percent. With GST, this rate will surpass fifteen percent and effectively double the tax rate.

v. Adoption and migration to the new GST system would involve teething troubles and learning for the entire ecosystem.

Key Terms

Indirect Tax
Value Added Tax
Security Transaction Tax
Excise Duty
Custom Duty
Goods and Services Tax
GST Council
Constitution of India

Exercise

I. Choose the Right Answer:

1. Who is the chairman of the GST council?
   a) RBI Governor b) Finance Minister
   c) Prime Minister d) President of India

2. GST Stands for
   a) Goods and Supply Tax
   b) Government Sales Tax
   c) Goods and Services Tax
   d) General Sales Tax

3. What kind of Tax the GST is?
   a) Direct Tax
   b) Indirect Tax
   c) Dependence on the Type of Goods and Services
   d) All Business Organisations

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